LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Agri Infrastructure Funding?

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Module 1: Theoretical Foundations, Government Schemes (AIF) & Product Philosophy of Agri Infrastructure Funding

Agri Infrastructure Funding is a specialized category of long-term debt and capital financing structured specifically to build, expand, and modernize post-harvest management infrastructure and community farming assets. Unlike short-term crop loans (such as Kisan Credit Cards) that finance seasonal operational inputs like seeds, fertilizers, and labor, Agri Infrastructure Funding addresses the structural bottleneck of Indian agriculture: the critical gap between farm-gate harvest and final consumer distribution.

The Post-Harvest Loss Paradox in Indian Agriculture

India is one of the world's largest producers of food grains, fruits, vegetables, milk, and spices. However, the lack of modern localized storage, cold chains, and primary processing facilities results in catastrophic post-harvest losses. According to Ministry of Agriculture estimates, India loses over ₹92,000 crore annually due to post-harvest wastage of agricultural produce. Perishable commodities like fruits and vegetables suffer post-harvest losses ranging from 10% to 18%, while food grains suffer 4% to 6% degradation.

This structural deficit creates the **Distress Sale Paradox**: during peak harvest seasons, localized market gluts cause farm-gate prices to crash below production costs, forcing farmers to sell immediately at distress rates. Months later, as supply dries up, consumer prices spike, but the profit margin is captured entirely by middle-tier intermediaries rather than primary producers.

Agri Infrastructure Funding resolves this structural vulnerability by enabling farmers, cooperatives, and agri-entrepreneurs to construct modern infrastructure right at the farm-gate. With access to scientific cold storage, Controlled Atmosphere (CA) chambers, automated sorting and grading units, and dry warehouses, producers can hold inventory safely, preserve crop quality, prevent distress sales, and release produce strategically into national markets when prices stabilize.

The Agriculture Infrastructure Fund (AIF) Scheme Architecture

To bridge the massive capital deficit in rural infrastructure, the Government of India launched the **Central Sector Scheme of Agriculture Infrastructure Fund (AIF)** under the Ministry of Agriculture & Farmers Welfare. The AIF scheme allocates a total corpus of **₹1,00,00,00,00,000 (₹1 Lakh Crore)** to be disbursed as medium-to-long-term debt financing between FY2020 and FY2026, with interest subvention and credit guarantee support extended through FY2033.

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Core Pillars of the Agriculture Infrastructure Fund (AIF)

1. **3.00% Per Annum Interest Subvention:** All loans sanctioned under AIF receive a **3.00% per annum interest subvention** from the Central Government for a maximum loan quantum of **₹2,00,00,000 (₹2 Crores)** per project. The subvention benefit is available for a maximum period of **7 years**.
2. **Credit Guarantee Coverage (CGTMSE & NABSANRAKSHAN):** To eliminate collateral barriers for small entrepreneurs, FPOs, and cooperatives, AIF-eligible loans up to **₹2,00,00,000 (₹2 Crores)** are covered under the Credit Guarantee Fund Trust for Micro and Small Enterprises (**CGTMSE**) or **NABSANRAKSHAN** (a subsidiary of NABARD). The Central Government fully reimburses the credit guarantee fee payable to CGTMSE.
3. **Multiple Projects Per Entity Ceiling:** An eligible entity can establish multiple infrastructure projects in different locations across India. Each project situated at a distinct location (identified by a separate LGD code / Village Panchayati area) is eligible for independent interest subvention and credit guarantee benefits up to ₹2 Crores.
4. **Capped Lending Rate:** Financial institutions participating in the AIF framework (Scheduled Commercial Banks, Cooperative Banks, Regional Rural Banks, and NBFCs) are mandated to charge interest rates that are capped at an agreed benchmark spread, ensuring that the net effective borrowing cost after interest subvention drops to **3.50% to 6.50% p.a.**

Eligible Entities and Project Categories Under AIF

Eligible Beneficiaries

- **Primary Agricultural Credit Societies (PACS)** & Marketing Cooperative Societies
- **Farmer Producer Organizations (FPOs)** & Farmer Producer Companies (FPCs)
- **Self Help Groups (SHGs)** & Joint Liability Groups (JLGs)
- **Agri-entrepreneurs, Startups, and Micro/Small Enterprises**
- **Central & State Agency Sponsored PPP Projects** (Local Bodies, APMCs)
- **National & State Level Cooperative Federations**

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Eligible Infrastructure Categories

Project Category	Infrastructure Assets Supported
Post-Harvest Management Infrastructure	Cold Storages, Controlled Atmosphere (CA) Stores, Pack Houses, Assaying Labs, Automated Sorting & Grading Lines, Drying Yards, Ripening Chambers, Silos, and Refrigerated Transport Vehicles (Reefer Vans).
Community Farming Assets	Organic Input Production Units, Bio-stimulant Plants, Precision Agriculture Equipment Hubs, Solar Power Infrastructure for Agri-Clusters, Smart Weather Stations, and Compressed Bio-Gas (CBG) Plants.
Primary Processing Infrastructure	Primary Processing Facilities for Grains, Pulses, Spices, Oilseeds, Fruits, and Vegetables (milling, crushing, de-husking, and vacuum packaging).

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Module 2: Structural Taxonomy and Comparative Analysis (Agri Infra Financing Matrix)

To evaluate the strategic advantage of Agri Infrastructure Funding (especially under the AIF framework), credit analysts and borrowers must compare it against standard corporate debt structures.

Comparative Capital Matrix: Agri Infra Debt vs. Alternative Credit Instruments

Parameter	AIF Subsidized Agri Infra Term Loan	Standard Commercial Capex Term Loan	Kisan Credit Card (KCC) / Agri Cash Credit	Warehouse Receipt Finance (eNWR)
Primary Purpose	Long-Term Capex for Post-Harvest & Processing Infra	General Corporate Capex & Expansion	Short-Term Crop Input & Operational Expenses	Post-Harvest Liquidity Against Stored Produce
Max Loan Ceiling	Uncapped (Subvention capped at ₹2 Cr per project)	As per bank risk appetite	₹3 Lakhs to ₹30 Lakhs (concessional)	Up to ₹75 Lakhs (PSL eNWR) / Uncapped
Interest Subvention	**3.00% p.a. for 7 Years** (up to ₹2 Cr loan)	Nil (0.00%)	2% Subvention + 3% Prompt Repayment	Nil (0.00%)
Effective Net Rate	**3.50% – 6.50% p.a.**	10.50% – 14.50% p.a.	4.00% – 7.00% p.a.	7.50% – 10.50% p.a.
Credit Guarantee	**CGTMSE / NABSANRAKSHAN** (Fee paid by Govt up to ₹2 Cr)	None (Borrower pays CGTMSE fee if eligible)	Coverage under CGFMU / State Schemes	None
Indicative Tenure	**10 to 15 Years** (incl. up to 2 yrs moratorium)	5 to 7 Years	1 Year (revolved annually)	90 to 365 Days

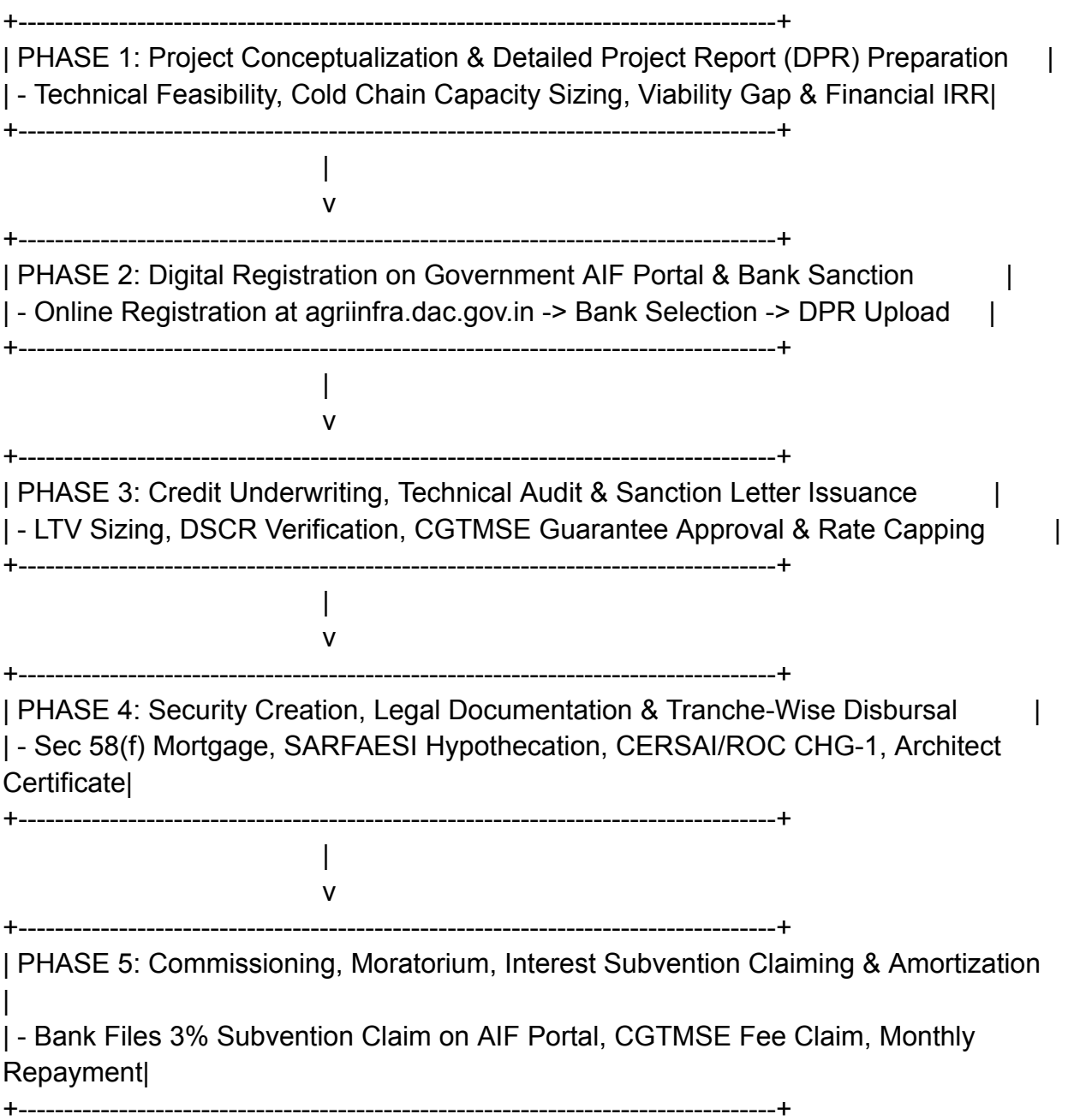
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Parameter	AIF Subsidized Agri Infra Term Loan	Standard Commercial Capex Term Loan	Kisan Credit Card (KCC) / Agri Cash Credit	Warehouse Receipt Finance (eNWR)
Moratorium Period	**6 to 24 Months**	3 to 12 Months	Not Applicable	Not Applicable
LTV / Equity Margin	**10% to 20%** (Equity Down Payment)	25% to 35%	Nil to 10%	20% to 30% (Margin Haircut)
Collateral Requirement	**Nil up to ₹2 Cr** (Covered by Guarantee); Mortgages for >₹2 Cr	Primary Asset Charge + 50%-100% Tangible Collateral	Hypothecation of Crops + Land Mortgage (>₹1.6 L)	Electronic Pledge of eNWR Receipts
CERSAI & ROC Filing	Mandatory CERSAI + ROC Form CHG-1 (30 days)	Mandatory CERSAI + ROC Form CHG-1	Revenue Record Lien Marking	Repository Lien Marking (NERL/CCRL)

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Module 3: The End-to-End Operational Lifecycle of Agri Infrastructure Funding

Executing an Agri Infrastructure Funding transaction involves a structured 5-phase operational workflow that integrates government digital portals, technical appraisal, legal charge creation, and multi-tranche disbursals.



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Phase 1: Project Conceptualization & Detailed Project Report (DPR)

The borrower prepares a Comprehensive Detailed Project Report (DPR) detailing: * Technical specifications (e.g., thermal insulation, refrigeration compressor tonnage, solar PV capacity, civil storage square footage). * Catchment area analysis (agricultural production volume within a 30-50 km radius). * Financial projections: Capital Cost, Debt-to-Equity Ratio, Projected Capacity Utilization (e.g., 60% Year 1, 75% Year 2, 85% Year 3+), Revenue Streams (rental per bag/MT, processing charges), O&M expenses, Net Present Value (NPV), and Internal Rate of Return (IRR).

Phase 2: AIF Digital Portal Registration

The borrower registers on the Central Agriculture Infrastructure Fund portal (agriinfra.dac.gov.in). The DPR, land ownership documents / long-term lease agreement (minimum 10-15 years), promoter KYC, and entity incorporation certificates are uploaded. The portal automatically routes the application to the borrower's chosen lending institution.

Phase 3: Technical Due Diligence & Bank Credit Appraisal

The bank conducts field inspections, legal title searches (minimum 13 to 30 years search at the Sub-Registrar's Office - SRO), and technical appraisals. The bank verifies: * Land usability (conversion to commercial/industrial agri-use if required). * Civil construction plan approval from local planning authorities / Panchayat. * Financial viability: Ensuring average Debt Service Coverage Ratio (DSCR) (1.35x) and Debt-to-Equity ratio (:1).

Upon approval, the bank issues a Formal Sanction Letter referencing AIF interest subvention terms and CGTMSE/NABSANRAKSHAN guarantee coverage.

Phase 4: Security Creation & Phased Disbursal

The borrower executes the Working Capital / Capex Facility Agreement: 1. **Hypothecation Agreement** covering plant, machinery, solar panels, and refrigeration equipment under the SARFAESI Act, 2002. 2. **Equitable Mortgage** under Section 58(f) of the Transfer of Property Act, 1882 on project land and structures. 3. **CERSAI & ROC Filings:** Mandatory registration on the CERSAI portal and ROC Form CHG-1 filing within 30 days. 4. **Phased Disbursal:** Disbursal occurs in stage-wise tranches tied to civil construction milestones verified by bank-empanelled Chartered Engineers and Architects.

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Phase 5: Commissioning, Subvention Claiming & Amortization

Once the project is commissioned, the bank submits quarterly interest subvention claims via the AIF portal. The Central Government credits the 3.00% p.a. subvention directly to the lending bank, reducing the borrower's effective interest debit on monthly statements. Repayment follows a structured EMI schedule after the expiry of the principal moratorium (6 to 24 months).

Lending institutions apply rigorous underwriting standards to evaluate Agri Infrastructure Term Loans, combining corporate debt metrics with agricultural risk sensitivity models.

Key Financial Assessment Metrics

1. Debt Service Coverage Ratio (DSCR)

DSCR measures the project's net operating cash flow available to service principal and interest obligations.

$$DSCR = \frac{PAT + Depreciation + Interest\ on\ Term\ Loan}{Principal\ Repayment + Interest\ on\ Term\ Loan}$$

- **Minimum Acceptable Benchmark:** Year-1 DSCR (1.20x); Average DSCR over loan tenure (1.40x).
- **AIF Subvention Impact:** The 3.00% interest subvention significantly reduces interest expense, elevating project DSCR by **0.25x to 0.40x**, transforming marginally viable projects into prime bankable assets.

2. Maximum Permissible Bank Finance (MPBF) - Tandon Committee Second Method

For working capital limits associated with the infrastructure facility (e.g., operational stock or utility cash flows), banks apply Tandon Committee norms:

$$MPBF = 0.75 \times (Current\ Assets - Current\ Liabilities\ Other\ Than\ Bank\ Borrowings)$$

- **Mandatory Requirement:** Current Ratio (:1).

3. Promoter Equity Contribution & Leverage Ratios

- **Minimum Equity Down Payment:** 10% to 20% of Total Project Cost.
- **Maximum Debt-to-Equity Ratio:** 4:1 for FPOs/PACS; 3:1 for Private Corporates/Entrepreneurs.

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4. Borrower Credit Scorecard Targets

Credit Parameter	Ideal Target Benchmark	Risk Threshold / Minimum Floor
Promoter CIBIL Score	**> 720**	680
CIBIL MSME Rank (CMR)	**CMR 1 to CMR 3**	CMR 4
Interest Coverage Ratio (ICR)	**> 2.00x**	1.50x
Project Financial IRR	**> 14.00% p.a.**	11.00% p.a.
Bank Account Velocity (AA)	Zero Cheque Bounces / Inward Return < 1%	Max 2 administrative returns

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Module 4: Legal Security Architecture, Hypothecation, Mortgages & Statutory Framework

The legal structure of Agri Infrastructure Funding combines asset-backed security creation under Indian statutory laws with state-backed credit guarantee mechanisms.

Statutory Security Instruments

1. Equitable Mortgage Under Section 58(f) of the Transfer of Property Act, 1882

For projects involving civil structures, cold storage, or land acquisition, the borrower creates an Equitable Mortgage by depositing original title deeds (Sale Deed, Conveyance Deed, Allotment Letter from Industrial Development Corporations) with the lending bank in notified towns. * **Legal Advantage:** No mandatory stamp duty or registration fee in several states for deposit of title deeds, reducing upfront project closing costs. * **Title Search Prerequisite:** Bank empanelled advocate conducts a **13 to 30-year non-encumbrance search** at the Sub-Registrar's Office (SRO) to verify clear marketable title.

2. Hypothecation Under Section 2(1)(n) of the SARFAESI Act, 2002

Plant, machinery, refrigeration compressors, sorting lines, solar panels, and reefer vehicles are hypothecated to the bank as primary security. * **Enforcement Powers:** Under **Section 13(2)** of the SARFAESI Act, upon default (NPA), the bank issues a 60-day demand notice. If unpaid, the bank exercises enforcement rights under **Section 13(4)** to take physical possession of hypothecated assets and sell them via public auction without court intervention. * **District Magistrate Assistance:** Under **Section 14**, the bank obtains assistance from the Chief Metropolitan Magistrate (CMM) or District Magistrate (DM) for physical possession.

3. Statutory Charge Registration (CERSAI & ROC Form CHG-1)

- **CERSAI Registration:** Under Section 20 of the SARFAESI Act, all mortgages and hypothecations must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within **30 days** of creation.
- **ROC Form CHG-1 Filing:** For corporate borrowers under Section 77 of the Companies Act, 2013, Form CHG-1 must be filed with the Registrar of Companies (ROC) within 30 days. Failure renders the charge void against liquidators in insolvency.

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4. CGTMSE & NABSANRAKSHAN Credit Guarantee Mechanics

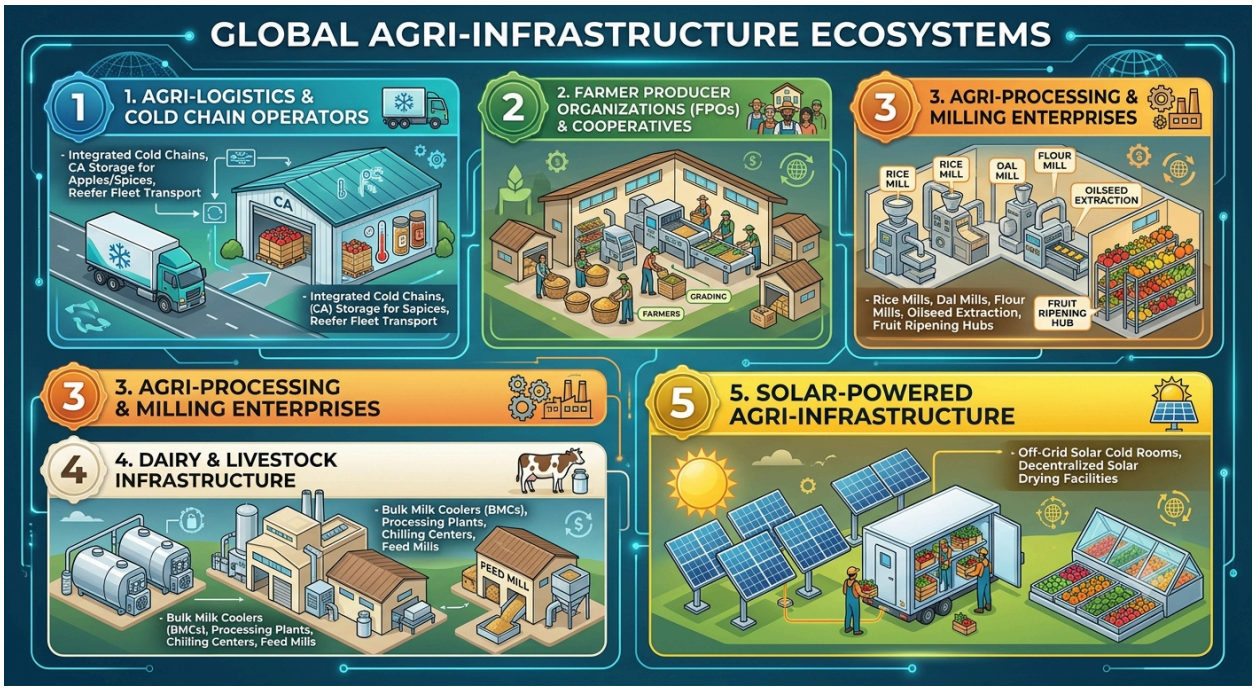
For loans up to ₹2 Crores under AIF, credit guarantees substitute for third-party collateral: * **Guarantee Coverage:** Up to **85%** for Micro/Small Enterprises and FPOs; **75%** for standard borrowers. * **Invocation Trigger:** If an account turns NPA, the bank initiates legal recovery under SARFAESI and files an initial claim for **75% of the guaranteed amount** with CGTMSE/NABSANRAKSHAN.

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Module 5: Suitable Industries, Business Profiles & Market Footprint Alignment

Agri Infrastructure Funding caters to a wide spectrum of agribusinesses across rural and semi-urban India.

Target Industry Segments & High-Impact Application Profiles



Commercial Credit Market Context in India

According to national commercial credit reports (SIDBI MSME Pulse & CRIF High Mark), **Retail and Wholesale Traders represent the largest segment of commercial borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore credit exposure range across India. This highlights the immense appetite for trade-related working capital and infrastructure credit in semi-urban distribution hubs.

Furthermore, major public sector banks have scaled digital supply chain and trade portals to serve this segment—for instance, State Bank of India (SBI) reports massive digital trade volumes, including **e-DFS (Electronic Dealer Financing Scheme) at ₹49,261 Crores** and **e-VFS (Electronic Vendor Financing Scheme) at ₹28,092 Crores**. Integrating farm-gate infrastructure with these established institutional credit rails creates seamless end-to-end financing from harvest to retail shelf.

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Module 6: Pricing Mechanics, Subsidies, Interest Subvention & Cost-Benefit Analysis

Understanding the net effective pricing of Agri Infrastructure Funding requires evaluating the interplay between base bank interest rates, government subvention, capital subsidies, and corporate tax shields.

1. Interest Rate Capping & AIF Subvention Mechanics

Participating banks price AIF term loans using floating rate benchmarks:

$$Base\ Bank\ Rate\ =\ EBLR\ /\ MCLR\ +\ Credit\ Spread\ (typically\ 1.00\%to\ 2.50\%)$$

- **AIF Interest Subvention: 3.00% p.a.** direct subsidy from the Central Government.
- **Capped Net Borrower Rate:** If a bank's sanctioned rate is **8.50% p.a.**, the net interest rate debited to the borrower's account during the subvention period is:

$$Effective\ Net\ Interest\ Rate\ =\ 8.50\%\ -\ 3.00\%\ =\ 5.50\%\ p.a.$$

2. Convergence With Capital Subsidy Schemes

AIF interest subvention can be combined with capital subsidies from other government initiatives (*Scheme Convergence*): * **PMKSY (Pradhan Mantri Kisan SAMPADA Yojana):** Up to **35% to 50% capital grant** for integrated cold chain and agro-processing clusters. * **PM-FME (Formalisation of Micro Food Processing Enterprises): 35% capital subsidy** (capped at ₹10 Lakhs per unit) for micro food processors. * **MIDH (Mission for Integrated Development of Horticulture): 35% to 50% capital subsidy** for cold storage and pack houses.

When combined, a borrower can secure **35% capital grant** alongside a **3% interest subvention on the balance term loan**, dramatically lowering capital costs.

3. Corporate Tax Shields & Depreciation Benefits

Income Tax Depreciation Under Section 32

Borrowers claiming tax depreciation under Section 32 of the Income Tax Act, 1961 benefit from high write-offs on specialized agri-assets: * **Plant & Machinery (General):** 15% Written Down Value (WDV). * **Specialized Cold Storage Equipment & Solar PV Systems:** 40% WDV.

Section 36(1)(iii) Interest Tax Shield

Interest paid on term loans for commercial infrastructure is 100% tax-deductible against business profits under Section 36(1)(iii). At the standard corporate tax rate of **25.17%**

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(including surcharge and cess under Section 115BAA), the net post-tax cost of interest drops further:

$$Net\ Post\ -\ Tax\ Interest\ Cost\ =\ Effective\ Net\ Interest\ \times (1\ -\ 0.2517)$$

For an effective net rate of 5.50% p.a., the net post-tax interest cost is just **4.12% p.a.**!

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Module 7: Regulatory Compliance, RBI Priority Sector Lending (PSL) & IRACP Guidelines

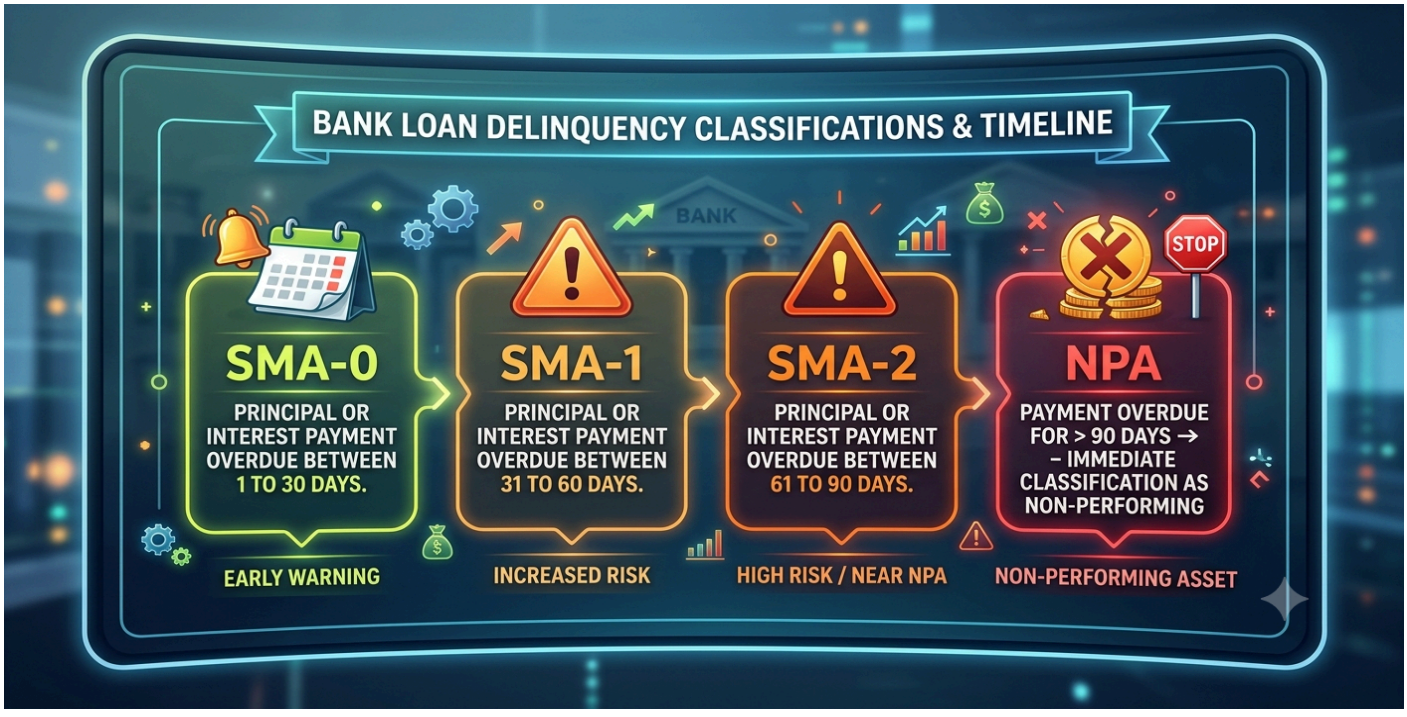
Agri Infrastructure Funding operates under strict regulatory oversight from the Reserve Bank of India (RBI).

Reserve Bank of India (RBI) Priority Sector Lending (PSL) Directives

Under the RBI Master Directions on Priority Sector Lending (FIDD.CO.PSD.BC.13/04.09.001/2024-25), Agri Infrastructure Funding qualifies under **Agriculture - Ancillary Activities**: * **PSL Category Target:** Banks have an aggregate target of **18% of Adjusted Net Bank Credit (ANBC)** for Agriculture, with a specific sub-target of **10% for Small & Marginal Farmers (SMF)**. * **PSL Sanction Ceiling:** Loans for setting up agri-infrastructure up to **₹100 Crores per borrower** from the banking system are eligible for Priority Sector classification. * **Capital Adequacy & Risk Weights:** Under Basel III frameworks, PSL-compliant agri-infra loans backed by CGTMSE/NABSANRAKSHAN carry reduced Risk-Weighted Assets (RWA) of **0% to 20%**, incentivizing banks to aggressively deploy capital into this segment.

Income Recognition, Asset Classification and Provisioning (IRACP) Norms

Agri Infrastructure Term Loans follow RBI's standard IRACP guidelines for non-agricultural seasonal advances (since infrastructure loans are serviced via regular commercial cash flows rather than crop harvest cycles).



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Restructuring & Technical Review Guidelines

- **180-Day Renewal Rule:** Working capital limits associated with the infrastructure facility must undergo annual review/renewal within 180 days of the due date to avoid automatic SMA/NPA degradation.
- **NPA Provisioning:** Banks must maintain standard asset provisions (0.40% for general corporates; 0.25% for MSMEs) and non-performing asset provisions (15% for Sub-Standard up to 1 year; 25%-40% for Doubtful).

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Module 8: Comprehensive Real-World Case Study (Mumbai Mega Agri-Cold Chain & Processing Park Pvt. Ltd.)

To master the financial evaluation of Agri Infrastructure Funding, let us examine a complete step-by-step mathematical case study comparing a subsidized Agriculture Infrastructure Fund (AIF) facility against a standard commercial project term loan.

Business Profile & Project Background

Borrower Entity: *Mumbai Mega Agri-Cold Chain & Processing Park Pvt. Ltd.* (MMACPPPL) * **Project Description:** Establishment of a 5,000 MT Multi-Commodity Cold Storage, Controlled Atmosphere (CA) Facility, and Primary Sorting/Grading Center in Nashik district, Maharashtra. * **Target Commodities:** Table Grapes, Onions, Pomegranates, and Exotic Vegetables. * **Total Certified Project Cost: ₹10,00,00,000 (₹10 Crores)** * Civil Infrastructure & Insulation Work: ₹4,50,00,000 * Refrigeration Plant, CA Machinery & Sorting Lines: ₹4,00,00,000 * Solar Power Installation (200 kW Roof-Top): ₹1,00,00,000 * Pre-Operative Expenses & Margin Money: ₹50,00,000 * **Corporate Income Tax Rate: 25.17%** (under Section 115BAA). * **Corporate Internal ROCE Yield: 15.00% p.a.** on unencumbered operational capital.

Financing Options Evaluated

Option A: Standard Commercial Project Term Loan (Non-Subsidized)

- **Loan Sanction Amount: ₹7,00,00,000 (₹7 Crores)** (70% LTV; 30% Equity Margin = ₹3 Crores down payment).
- **Interest Pricing: 12.50% p.a.** fixed benchmark rate.
- **Tenure:** 7 Years (84 Months) with a 12-month principal moratorium.
- **Credit Guarantee / Collateral:** Borrower pays 1.50% CGTMSE fee + pledges ₹2 Crores collateral land.
- **Subvention / Subsidy:** Nil (0.00%).

Option B: Structured AIF-Subsidized Term Loan Facility

- **Loan Sanction Amount: ₹8,00,00,000 (₹8 Crores)** (80% LTV; 20% Equity Margin = ₹2 Crores down payment).
- **Interest Pricing Structure:**

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- **Tranche 1 (₹2 Crores AIF Cap):** Base rate 9.50% p.a. minus **3.00% p.a. AIF Interest Subvention = 6.50% p.a. Net Effective Rate** for 7 Years.
- **Tranche 2 (₹6 Crores Balance):** Base rate 9.50% p.a. (non-subsidized).
- **Weighted Average Net Interest Rate (Years 1-7):**

$$Weighted\ Rate = \frac{(₹2\ Cr \times 6.50\%) + (₹6\ Cr \times 9.50\%)}{₹8\ Cr} = 8.75\%\ p.a.$$

- **Tenure:** 10 Years (120 Months) with 24-Month Principal Moratorium.
- **Credit Guarantee:** CGTMSE Coverage on ₹2 Cr Tranche (Fee 100% paid by Central Govt); Mortgage on project site for balance ₹6 Cr.

Comprehensive Mathematical Step-by-Step Modeling

1. Equity Down Payment & Working Capital Preservation

- **Option A Equity Down Payment (30%): ₹3,00,00,000 (₹3 Crores)**
- **Option B Equity Down Payment (20%): ₹2,00,00,000 (₹2 Crores)**
- **Net Operational Capital Preserved by Choosing Option B:**

$$Capital\ Preserved = ₹3,00,00,000 - ₹2,00,00,000 = ₹1,00,00,000\ (₹1\ Crore)$$

Reinvested into MMACPPPL's core trading operations @ 15.00% p.a. ROCE, this preserved ₹1 Crore generates:

$$Cumulative\ 7 - Year\ ROCE\ Profits = ₹1,00,00,000 \times 15.00\% \times 7 =+ ₹1,05,00,000$$

2. Year-1 Interest Outflow & AIF Subvention Savings

- **Option A Year-1 Interest Cost (₹7 Cr @ 12.50% p.a.):**

$$Interest_A = ₹7,00,00,000 \times 12.50\% = ₹87,50,000$$

- **Option B Year-1 Net Interest Cost (Weighted Rate 8.75% p.a. on ₹8 Cr):**

$$InterestB = ₹2,00,00,0006.50 + ₹6,00,00,0009.50 = ₹13,00,000 + ₹57,00,000 = ₹70,00,000$$

- **Direct Pre-Tax Annual Interest Savings in Year 1:**

$$Annual\ Pre - Tax\ Savings = ₹87,50,000 - ₹70,00,000 = ₹17,50,000$$

Over the 7-year AIF subvention window, total cumulative AIF interest subvention received on Tranche 1 equals:

$$Cumulative\ AIF\ Subvention\ Received = ₹2,00,00,000 \times 3.00\% \times 7 =+ ₹42,00,000$$

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3. Tax Shield Modeling & Post-Tax Interest Cost

Option A Post-Tax Interest Outflow (Year 1):

$$Post - Tax\ Interest_A = ₹87,50,000 \times (1 - 0.2517) = ₹65,47,625$$

Option B Post-Tax Interest Outflow (Year 1):

$$Post - Tax\ Interest_B = ₹70,00,000 \times (1 - 0.2517) = ₹52,38,100$$

Direct Net Post-Tax Interest Savings in Year 1:

$$Post - Tax\ Annual\ Savings = ₹65,47,625 - ₹52,38,100 = ₹13,09,525\ per\ year$$

4. Debt Service Coverage Ratio (DSCR) Impact Analysis

Assuming Year-1 Earnings Before Interest, Tax, Depreciation, and Amortization (EBITDA) of **₹1,80,00,000 (₹1.80 Crores)** and Section 32 Depreciation of **₹80,00,000**: * **EBIT:** ₹1,80,00,000 - ₹80,00,000 = **₹1,00,00,000** * **PAT (Option A):** (EBIT ₹1.00 Cr - Interest ₹87.5 L) (imes) (1 - 0.2517) = ₹12,50,000 (imes) 0.7483 = **₹9,35,375** * **PAT (Option B):** (EBIT ₹1.00 Cr - Interest ₹70.0 L) (imes) (1 - 0.2517) = ₹30,00,000 (imes) 0.7483 = **₹22,44,900**

Year-1 Cash Flow Available for Debt Service (PAT + Depreciation + Interest):

- **Option A Cash Flow:** ₹9,35,375 + ₹80,00,000 + ₹87,50,000 = **₹1,76,85,375**
- **Option B Cash Flow:** ₹22,44,900 + ₹80,00,000 + ₹70,00,000 = **₹1,72,44,900**

Debt Service Requirements in Year 1 (Moratorium Period - Interest Only):

- **Option A Debt Service:** ₹87,50,000 (Interest) + ₹0 (Principal Moratorium) = **₹87,50,000**
- **Option B Debt Service:** ₹70,00,000 (Interest) + ₹0 (Principal Moratorium) = **₹70,00,000**

DSCR Comparison (Year 1):

$$DSCR_A = \frac{₹1,76,85,375}{₹87,50,000} = 2.02x$$

$$DSCR_B = \frac{₹1,72,44,900}{₹70,00,000} = 2.46x$$

When principal repayments commence in Year 3, Option B's extended 10-year tenure lowers annual principal obligations from ₹1.16 Crores/year (Option A) down to ₹1.00

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Crore/year, maintaining Option B's DSCR at a robust **1.72x** versus Option A's marginal **1.18x**.

Comparative Financial Summary Table

Financial Metric	Option A: Standard Commercial Loan	Option B: Structured AIF Subsidized Facility	Strategic Financial Advantage of Option B
Sanctioned Debt Ceiling	₹7,00,00,000 (70% LTV)	**₹8,00,00,000 (80% LTV)**	**+₹1,00,00,000 higher capital funding**
Borrower Down Payment	₹3,00,00,000 (30% equity)	**₹2,00,00,000 (20% equity)**	**+₹1,00,00,000 operational cash preserved**
Gross Base Interest Rate	12.50% p.a.	9.50% p.a.	3.00% p.a. lower base benchmark
AIF Subvention Benefit	Nil (0.00%)	**3.00% p.a. on ₹2 Cr Tranche**	**+₹42,00,00,00 cumulative subvention income**
Effective Net Interest Rate	12.50% p.a.	**8.75% p.a. (weighted avg)**	**3.75% p.a. net borrowing cost reduction**
Year-1 Pre-Tax Interest Cost	₹87,50,000	**₹70,00,000**	**+₹17,50,000 annual cash interest savings**
Year-1 Post-Tax Interest	₹65,47,625	**₹52,38,100**	**+₹13,09,525 annual post-tax cash savings**
Cumulative 7-Yr ROCE Yield	₹0 (Capital locked)	**+₹1,05,00,000**	**+₹1,05,00,000 reinvestment profit created**
Year-1 DSCR Rating	2.02x	**2.46x**	**+0.44x safety cushion elevation**
Overall 7-Year Net Surplus	Baseline Benchmark	**+₹1,96,66,675 Surplus**	**MMACPPPL generates ₹1.97 Crores net wealth!**

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Module 10: 10-Question Professional Certification Examination & Detailed Rationales

Question 1

Under the Central Sector Scheme of Agriculture Infrastructure Fund (AIF), what is the maximum interest subvention rate and the maximum loan quantum per project eligible for subvention?

A) 2.00% p.a. subvention up to ₹1 Crore for 5 years
B) 3.00% p.a. subvention up to ₹2 Crores for 7 years
C) 4.00% p.a. subvention up to ₹5 Crores for 10 years
D) 5.00% p.a. subvention up to ₹50 Lakhs for 3 years

Question 2

Under Section 58(f) of the Transfer of Property Act, 1882, how is an Equitable Mortgage created on agricultural project land?

A) By executing a registered mortgage deed at the High Court
B) By delivering physical possession of the land to the bank manager
C) By depositing original title deeds with the lending bank in a notified town with intent to create security
D) By publishing a notice in two local newspapers

Question 3

Under RBI Priority Sector Lending (PSL) directions, what is the maximum loan ceiling per borrower for setting up agri-infrastructure eligible under Ancillary Activities?

A) ₹10 Crores
B) ₹25 Crores
C) ₹50 Crores
D) ₹100 Crores

Question 4

How does the 3.00% p.a. AIF interest subvention impact a project's Debt Service Coverage Ratio (DSCR)?

A) It increases interest expense and lowers DSCR
B) It has zero impact on cash flows or DSCR
C) It lowers annual interest expense, increasing net cash flow and elevating DSCR by 0.25x to 0.40x
D) It converts term debt into equity, eliminating DSCR

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Question 5

What is the mandatory statutory timeframe for filing ROC Form CHG-1 for charge creation on corporate infrastructure assets under Section 77 of the Companies Act, 2013?

A) Within 7 days of loan disbursal
B) Within 30 days of charge creation
C) Within 90 days of annual audit completion
D) Within 180 days of financial year-end

Question 6

Which government scheme provides credit guarantee coverage for AIF loans up to ₹2 Crores without third-party collateral?

A) ECGC
B) CGTMSE / NABSANRAKSHAN
C) DICGC
D) SEBI Recovery Fund

Question 7

Under Section 32 of the Income Tax Act, 1961, what is the allowable Written Down Value (WDV) depreciation rate for specialized cold storage refrigeration equipment and solar power systems?

A) 10%
B) 15%
C) 40%
D) 100%

Question 8

According to national commercial credit data in India, what percentage of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure range do Retail and Wholesale Traders represent? A) 18%
B) 28%
C) 44%
D) 65%

Question 9

Under RBI IRACP guidelines, after how many days of continuous principal or interest overdue does an Agri Infrastructure Term Loan classify as a Non-Performing Asset (NPA)? A) 30 days

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B) 60 days
C) 90 days
D) 180 days

Question 10

If an agri-entrepreneur establishes three distinct cold storage facilities in three different Panchayati villages (different LGD codes), how many AIF subvention limits can they claim? A) Only 1 subvention limit across the entire company
B) 3 independent subvention limits up to ₹2 Crores each (total ₹6 Crores)
C) Subvention is halved for the second and third project
D) Subvention is disallowed for multiple projects

Answer Key & Detailed Professional Rationales

1. **Correct Answer: B.** Under the AIF guidelines, the Central Government provides a **3.00% p.a. interest subvention** for loans up to **₹2 Crores** per project for a maximum period of **7 years**.
2. **Correct Answer: C.** Section 58(f) defines an Equitable Mortgage (Mortgage by Deposit of Title Deeds), created when a debtor delivers original title documents to a creditor or their agent in a notified town with the intent to create security thereon.
3. **Correct Answer: D.** Under RBI Priority Sector Lending guidelines for Ancillary Activities, loans up to **₹100 Crores per borrower** for setting up agri-infrastructure qualify for PSL classification.
4. **Correct Answer: C.** By reducing net interest outflow, interest subvention increases Net Profit After Tax and net cash flow available for debt service, raising DSCR by **0.25x to 0.40x**.
5. **Correct Answer: B.** Section 77(1) of the Companies Act, 2013 mandates that every company creating a charge on its property or assets must register the charge with the Registrar of Companies (ROC) via Form CHG-1 within **30 days** of creation.
6. **Correct Answer: B.** AIF loans up to ₹2 Crores are eligible for credit guarantee coverage under **CGTMSE** or **NABSANRAKSHAN**, with the guarantee fee fully borne by the Central Government.
7. **Correct Answer: C.** Section 32 Income Tax rules specify a **40% WDV depreciation rate** for specialized energy-saving equipment, solar energy systems, and specialized cold storage plant machinery.

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8. **Correct Answer: C.** Commercial credit data reports (SIDBI MSME Pulse / CRIF High Mark) confirm that **Retail and Wholesale Traders constitute 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore credit segment in India.
9. **Correct Answer: C.** For commercial term loans (including agri-infra loans serviced via regular business cash flows), non-payment of interest or principal for **more than 90 days** triggers automatic NPA classification under RBI IRACP norms.
10. **Correct Answer: B.** AIF rules explicitly state that an eligible entity can establish multiple infrastructure projects at different locations (different LGD village codes), with each project eligible for independent interest subvention up to ₹2 crore.

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